

arisen, they may produce attractive analytical opportunities” (emphasis their own). (Chap. 50) Our perceptive duo points out that “investors are constitutionally averse to buying into a troubled situation” (Chap. 6); not only constitutionally, one might add, but in many cases also institutionally, which confers a formidable edge to the distressed investor able to buy and hold securities that others must dump at inefficient prices.

The killer app (what previous generations called a “mouse trap”) of the book resides under “Price Patterns Produced by Insolvency.” Consider this prophetic sentence: “a profitable field of analytical activity should be found therefore in keeping in close touch with such situations, endeavoring to discover securities that appear to be selling far under their intrinsic values and to determine approximately the best time for making a commitment in them.” (Chap. 50)

Alas, there is little elaboration on this promising topic; there is no example that considers receivership from the point of view of buying—only from selling or “switching” (upgrading a portfolio). There is, shockingly, no chapter on distressed analysis in the 800-some pages of the *Security Analysis* bible. Why? This omission baffled me until I looked back at the edition dates. Plainly, in the original Graham and Dodd world, there was no adequate process to make money in bankruptcy. Until the 1930s, bankruptcy generally meant liquidation, and bankruptcy courts dealt primarily with foreclosure of a firm’s assets—hardly a way to make a profit for a bondholder when “in practice we find a very definite disinclination on the part of the courts to permit corporate bondholders to take over properties by foreclosing on their liens if there is any possibility that these assets may have a fair value in excess of their claim.” (Chap. 6)

However, the Corporate Reorganization Act, followed by the Chandler Act and the Trust Indenture Act of 1939, introduced corporate reorganization rules with the purpose of keeping businesses alive and